comfort. Try searching the web for “retirement calculator,” or use one provided by your employer-sponsored plan.

Keep in mind that IRAs can be held anywhere including mutual fund companies and brokerage houses; financial advisors also offer IRAs. The IRAs in banks and credit unions typically allow you to invest only in CDs or cash equivalents, which may not be the best choice for a young person’s retirement savings.

Traditional IRAs

Depending on your income, your filling status, and whether you have a qualified retirement plan at work, your IRA contributions may not be fully tax deductible. If you (and your spouse) aren’t eligible for any employer-provided retirement plan, you can deduct the full contribution to an IRA. If you are married and filing jointly, and you (and your spouse) do participate in an employer’s retirement plan (see if the pension box on your W-2 is checked), you’ll be able to take the full deduction if your AGI is below $92,000 (for 2012; this limit increases periodically to keep up with inflation). For 2012, if your AGI is between $58,000 and $68,000 (for singles), and between $92,000 and $112,000 (for married couples), you’ll only be able to take a partial deduction. You have until April 15 to make an IRA contribution for the previous year, but make sure you do it before filing your income taxes. The IRS will check to make sure your contribution was made within the deadline.

Roth IRAs

There are several important distinctions between traditional IRAs and Roth IRAs. Traditional IRA contributions are tax deductible as long as you qualify with the eligibility restrictions. Roth IRA contributions are not. Traditional IRAs grow tax deferred until you withdraw the funds at retirement, and then they’re taxed at your regular income tax rate. Roth IRA contributions are never tax deductible and the growth and earnings are never taxed, as long as you follow all the rules. You’re required to withdraw a minimum amount each year from your traditional IRAs once you reach